

THE SCANDAL OF PREDICTION

Welcome to Sydney—How many lovers did she have?—How to be an economist, wear a nice suit, and make friends—Not right, just “almost” right—Shallow rivers can have deep spots

One March evening, a few men and women were standing on the esplanade overlooking the bay outside the Sydney Opera House. It was close to the end of the summer in Sydney, but the men were wearing jackets despite the warm weather. The women were more thermally comfortable than the men, but they had to suffer the impaired mobility of high heels.

They all had come to pay the price of sophistication. Soon they would listen for several hours to a collection of oversize men and women singing endlessly in Russian. Many of the opera-bound people looked like they worked for the local office of J. P. Morgan, or some other financial institution where employees experience differential wealth from the rest of the local population, with concomitant pressures on them to live by a sophisticated script (wine and opera). But I was not there to take a peek at the neosophisticates. I had come to look at the Sydney Opera House, a building that adorns every Australian tourist brochure. Indeed, it is striking, though it looks like the sort of building architects create in order to impress other architects.

That evening walk in the very pleasant part of Sydney called the Rocks was a pilgrimage. While Australians were under the illusion that they had built a monument to distinguish their skyline, what they had really done was to construct a monument to our failure to predict, to plan, and to come to grips with our *unknowledge* of the future—our systematic underestimation of what the future has in store.

The Australians had actually built a symbol of the epistemic arrogance of the human race. The story is as follows. The Sydney Opera House was supposed to open in early 1963 at a cost of AU\$ 7 million. It finally opened its doors more than ten years later, and, although it was a less ambitious version than initially envisioned, it ended up costing around AU\$ 104 million. While there are far worse cases of planning failures (namely the Soviet Union), or failures to forecast (all important historical events), the Sydney Opera House provides an aesthetic (at least in principle) illustration of the difficulties. This opera-house story is the mildest of all the distortions we will